

➤ Operating Items

This category includes the items and assets that are required for the day-to-day operation of the company:

1. Accounts receivable:
When the company sells goods on credit

2. Inventory

3. Cash required for running the business

4. Advanced Received from customers

5. Prepaid Expenses

6. Accounts Payable



All of these above-mentioned items are operating in nature. Simply speaking, they are affected by the day-to-day operations of the company. These items are also part of the core activity of the business. Market forces have a large role to play in deciding how these assets are used.

EXAMPLE

The business must keep a certain amount of inventory and accounts receivable. This majorly depends on the nature of the business. Here the company has to control how efficiently they manage these operating items.

Now, as we have learned about the different types of financial and operating items, we will divide the income statement and the balance sheet into two parts.